

January 26, 2026

Representative Cyndy Ryu
Chair, House Technology, Economic
Development, & Veterans Committee
303 John L. O'Brien Building
PO Box 40600
Olympia, WA 98504

Representative Shelley Kloba
Vice Chair, House Technology, Economic
Development, & Veterans Committee
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PO Box 40600
Olympia, WA 98504

Representative Mary Fosse
Deputy Majority Floor Leader
368 John L. O'Brien Building
PO Box 40600
Olympia, WA 98504

RE: Ad Trade Letter in Opposition to Washington HB 2481

Dear Chair Ryu, Vice Chair Kloba, and Representative Fosse:

On behalf of the advertising industry, we write to oppose Washington HB 2481.¹ We provide this letter to offer our non-exhaustive list of concerns about this bill. HB 2481 would restrict business' ability to use pricing strategies that drive discounts nationwide, diminishing consumer savings and weakening competitive pressure to lower prices in Washington. Accordingly, we ask you to decline to advance the bill as drafted out of the House Committee on Technology, Economic Development & Veterans ("Committee").

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product ("GDP") in 2024.² By one estimate, approximately 18.6% of Washington jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 20.0% by 2029.³ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

¹ Washington HB 2481 (2026 Session), located [here](#) (hereinafter, "HB 2481").

² S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.

³ *Id.* at 15-16.

I. HB 2481 would limit access to discounts and special pricing offers that Washington consumers rely on to manage everyday costs.

HB 2481 would fail to adequately protect the everyday value that common pricing practices, such as discounts, promotions, and personalized offers, provide to Washington consumers, nor does it recognize that personalized pricing strategies can enhance consumer choice and satisfaction.

Under the bill, a business may not use “surveillance-based price discrimination” to modify the price of goods for a consumer and is similarly barred from employing “surge pricing” for any duration of time, explicitly prohibiting such pricing for minutes, hours, or days, as well as across separate transactions.⁴ In practice, these restrictions would also prohibit consumer-friendly pricing practices that Washingtonians encounter and value every day. For example, a grocery retailer may use “personally identifiable information” (i.e., location and previous transaction data) to offer a consumer who regularly purchases fresh produce a targeted discount on surplus fruits nearing their sell-by date. This type of personalized discount benefits consumers through lower prices, reduces food waste, and helps retailers manage inventory more efficiently, yet it would be swept into the bill’s broad prohibition simply because it relies on consumer data to “modify the price of goods for a consumer,” rather than uniform pricing. While HB 2481 does provide an exception for reductions in posted pricing “made available to all consumers” enrolled in loyalty, membership, or rewards programs, the bill significantly curtails discounting and special pricing for the average consumer who may not be enrolled in such programs.⁵ By prohibiting such commonplace practices, HB 2481 dismisses the role that data-driven pricing plays in delivering value to a broader set of consumers.

In addition, these sweeping prohibitions effectively ban businesses from adjusting prices in response to real-world market signals, such as supply constraints or sudden increases in demand, which in a functioning free market help allocate scarce resources efficiently and incentivize additional production where it is most needed. Over time, these constraints may also discourage suppliers from expanding production or investing in responsiveness to market trends precisely when consumers most need goods to be available.

II. HB 2481 would establish a private right of action which is an inappropriate form of enforcement for privacy legislation.

As presently drafted, HB 2481 would allow a consumer to seek a remedy under Washington’s unfair business practices statute with no explicit statement that the bill does not permit private litigants to bring lawsuits.⁶ HB 2481 should be updated to clarify that it does not create a private right of action under any law. We strongly believe a private right of action would be an inappropriate enforcement mechanism for this bill. Instead, enforcement should be vested with the Attorney General (“AG”) alone, because such an enforcement structure would lead to stronger outcomes for Washington residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with the bill’s

⁴ HB 2481 § 3(2)-(3).

⁵ HB 2481 § 3(4).

⁶ HB 2481 § 5.

new requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The possibility of a private right of action in HB 2481 would create a complex and flawed compliance system without tangible benefits for consumers. Allowing private actions will flood Washington's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.⁷ Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the state's economy by creating the threat of steep and unforeseeable penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively address consumer privacy concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.⁸

Beyond the staggering cost to Washington businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the possibility of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the Committee to clarify that HB 2481 does not create a private right of action under any law and vests enforcement authority with the AG alone.

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⁷ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

⁸ For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*



We respectfully ask the Committee not to advance HB 2481, as its provisions would negatively affect both businesses and consumers alike. Rather than strengthening consumer protections, the bill risks higher prices, reduced choice, and fewer opportunities for consumers to benefit from discounts and incentives, while also limiting businesses' ability to adopt innovative technology and offer competitive pricing and promotions.

Thank you in advance for your consideration of this letter.

Sincerely,

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